3.2.2 Risk, reward, uncertainty and influences on decisions

Unit 3.2 Managers, leadership and decision making · 7 key points

- **Risk:** the chance the outcome is worse than expected; can often be estimated
- **Reward:** the benefit if the decision succeeds
- **Uncertainty:** outcomes or their likelihood cannot be known
- **Opportunity cost:** the next best alternative given up
- **Influences on decisions named by AQA:** mission, objectives, ethics, the external environment including competition, resource constraints
- **Resource constraints:** limits on money, staff, time or capacity
- **Ethics:** whether a decision is morally right, not just legal